

# Behavioral Frictions and an Introduction to Behavioral Labor

## Labor I – Week 12

Teaching deck draft

# Central question and why this is an introduction

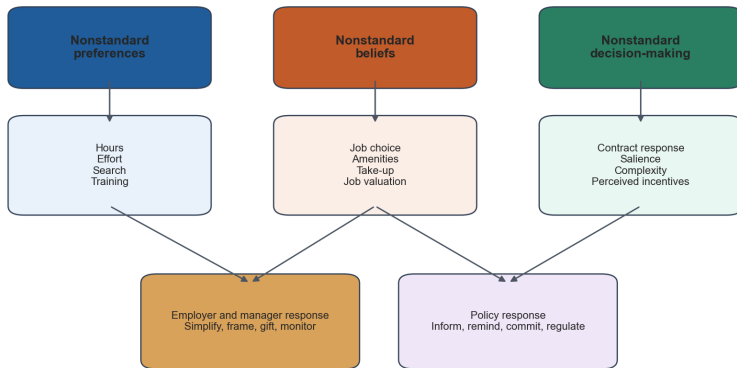
- Week 12 is not a list of biases. It is a framework for adapting worker-side labor models when preferences, beliefs, or decision-making depart from the fully rational benchmark.
- The key discipline questions are: relative to what benchmark, on which labor margin, with what identifying variation, and with what welfare object?
- This is the bridge from Labor I into a full Behavioral Labor course.

# Why behavioral labor belongs at the end of Labor I

- Week 3: dynamic labor supply gives the benchmark for self-control and continuation values.
- Week 7: job amenities gives the benchmark for identity, salience, and job valuation.
- Week 11: take-up and delivery design gives the benchmark for complexity, attention, and effective exposure.

# DellaVigna taxonomy adapted to labor

Behavioral labor maps mechanisms into labor-market objects and then into employer or policy response.



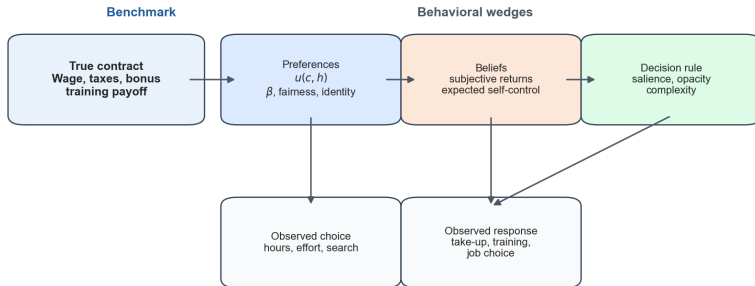
# Benchmark labor choice and the behavioral wedge

$$\max_{h \in \mathcal{H}} U(c, h) \quad \text{s.t.} \quad c = y + wh - T(wh + y)$$

$$a_i \in \arg \max_{a \in \mathcal{A}} \left\{ \tilde{\mathbb{E}}_i[u_i(c(a), x(a))] - \tilde{\kappa}_i(a) \right\}$$

- Preferences change what workers want.
- Beliefs change what workers think.
- Decision-making frictions change how true incentives become perceived incentives.

# Benchmark versus behavioral wedges



The empirical task is to learn which wedge moved and which standard alternative that rules out.

# Nonstandard preferences in labor

$$U_t = u(c_t, h_t) + \beta \sum_{s=t+1}^T \delta^{s-t} u(c_s, h_s)$$

$$u_i = w_i - \psi(e_i) + \alpha_i(w_i - r_i) + \rho_i G_i e_i$$

- Present bias matters for search, training, and habit formation.
- Fairness, reciprocity, and reference points matter for effort and contract response.
- The standard alternative to rule out is simple spot-market optimization with stable preferences.

$$\tilde{R}_{it} = \mathbb{E}_{it}^s[w_{t+1}(k_{t+1}) - w_t(k_t)]$$

- Subjective beliefs shape search intensity, training take-up, and job valuation.
- Expectation errors are different from low objective returns.
- Measuring beliefs is often part of identification, not an optional add-on.



# Nonstandard decision-making in labor

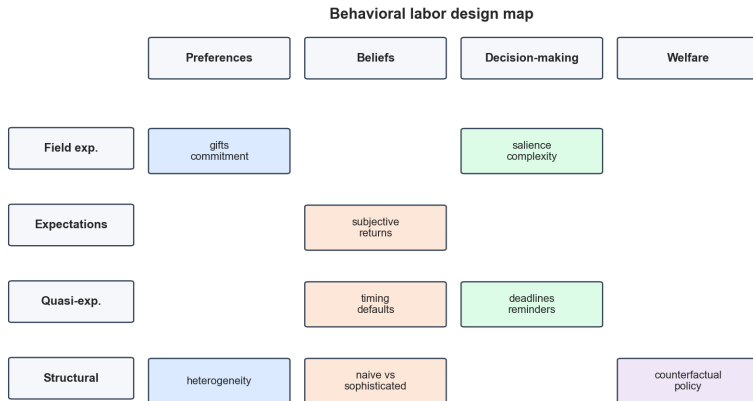
$$\tilde{w} = \lambda w + (1 - \lambda)\bar{w}$$

- Workers respond to perceived incentives, not always to true incentives.
- Complexity, salience, framing, and administrative burden can all attenuate response.
- Week 11 policy delivery and Week 12 behavioral labor meet here.

## Employers, managers, and policy respond too

- Firms can simplify, frame, gift, monitor, screen, or offer commitment.
- Some organizations exploit biases; others accommodate or offset them.
- Behavioral labor is partly about environment design, not only about worker mistakes.

# Empirical design toolkit



No single design is enough when the mechanism could be preferences, beliefs, or perception.

# How identification works

- Field experiments isolate gifts, reminders, commitment, or complexity while holding the true contract fixed.
- Expectation-based designs measure subjective returns and perceived eligibility directly.
- Quasi-experiments are persuasive when timing, salience, or default rules move while statutory incentives do not.
- Structural estimation is most useful when the question is mechanism, counterfactual design, or welfare.

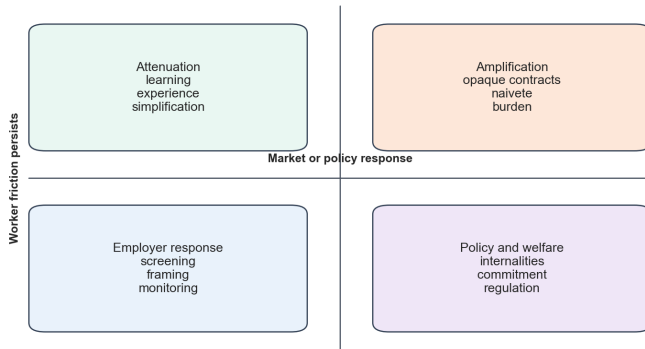
# Welfare and behavioral policy interpretation

$$W_i(a) = U_i^{LR}(a) - U_i^{LR}(a_i^{obs})$$

- Positive response is not the same as welfare improvement.
- Internalities, sophistication, learning, and the normative benchmark all matter.
- Behavioral labor requires a view on what choices should reveal.

# Market responses and welfare map

From worker mechanism to market response to welfare interpretation



## Field map and bridge to a full course

- Self-control and dynamic labor supply.
- Fairness, reciprocity, and gift exchange at work.
- Identity, norms, and job choice.
- Attention, salience, and complexity.
- Beliefs, expectations, and perceived returns.
- Employer design and behavioral personnel economics.
- Welfare and behavioral policy design.

- Behavioral labor is strongest when it produces distinctive predictions on labor-market margins.
- The benchmark matters: preference, belief, and decision-making wedges imply different tests.
- Employer and policy response are part of the field, not side notes.
- Week 12 closes Labor I by turning worker-side frictions into a field map.



## Appendix: optional extension block

- Structural behavioral estimation and policy counterfactuals.
- Dynamic self-control in job search.
- Behavioral personnel economics and contract design.